HOUSE BILL 841
By Haston

SENATE BILL 802

By Massey

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 51; Title 37, Chapter 5, Part 5; Title 49 and Title 71, Chapter 3, relative to early learning.

WHEREAS, many children begin kindergarten developmentally and socially behind; and

WHEREAS, child care and preschool promote early learning and development when they are high quality; and

WHEREAS, parents depend on child care and preschool programs in order to be able to work; and

WHEREAS, child care and preschool programs, especially those that are high quality, are unaffordable for most Tennessee families, costing more than in-state college tuition; and

WHEREAS, public payment assistance for child care and preschool programs is limited to low-income families up to eighty-five percent of state median income; and

WHEREAS, choices for middle income families are especially limited due to lack of affordability; and

WHEREAS, the Tennessee lottery was established in 2002 by the people of Tennessee with four purposes for its proceeds, one of which is early learning programs; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 4-51-111, is amended by adding the following as a new subsection:

(1) There is created a fund in the state treasury to be known as the "promising futures early learning fund." The fund consists of excess lottery revenues pursuant to subdivision ( )(2) and monies obtained from any other sources for the purpose of providing promising futures early learning scholarships.

(2) Notwithstanding a law to the contrary, beginning July 1, 2025, and each July 1 thereafter, the corporation shall transfer one hundred percent (100%) of net lottery proceeds that are not used to fund scholarships other than the promising futures early learning scholarship established by § 49-1-1110, early learning programs and after school programs, or capital outlay projects for grades kindergarten through twelve (K-12) educational facilities, to the promising futures early learning fund.

(3) Money in the promising futures early learning fund must be invested by the state treasurer pursuant to title 9, chapter 4, part 6 for the sole benefit of the fund.

(4) Monies in the promising futures early learning fund must be used to provide promising futures early learning scholarships and as authorized in § 49-1-1110(j). The department of education, in collaboration with the state treasurer, shall designate a date by which the treasurer shall annually make a distribution from the promising futures early learning fund to the department for the purpose of paying for the scholarships pursuant to § 49-1-1110(f)(4).

(5) Monies in the promising futures early learning fund must not be used to displace, replace, or supplant state funding for child care or other early learning programs.

SECTION 2. Tennessee Code Annotated, Title 49, Chapter 1, Part 11, is amended by adding the following as a new section:

49-1-1110. Scholarship program for children to participate in high-quality early learning programs.

(a) The promising futures early learning scholarship program is hereby established so that children may attend a high-quality early learning program.

(b)

(1) As used in this section, "high-quality early learning program" means a program with quality ratings, as determined by the department of education utilizing measurement methods and instruments described in subdivision (b)(2), indicating that the program delivers high-quality, teacher-child interaction and instruction predictive of child outcomes.

(2) The department shall utilize measurement methods and instruments for determining whether a program delivers high-quality, teacher-child interaction and instruction that includes, but not limited to, a tested and proven, evidence-based observational instrument that assesses classroom quality, including assessing multiple dimensions of teacher-child interactions that are linked to positive child development, early language and literacy skills, and later achievement.

(c)

(1) The department of education shall implement the promising futures early learning scholarship program by July 1, 2026.

(2) The department of education shall establish and administer a streamlined online portal that parents may use to apply for a promising futures scholarship. The portal must be capable of:

(i) Making eligibility determinations; and

(ii) Applying for federal funds for which the applicant meets the eligibility criteria before making state dollars available.

(3) For the first year that promising futures early learning scholarships are awarded, the department of education may award up to five thousand (5,000) scholarships, and the maximum amount of a scholarship is four thousand five hundred dollars ($4,500). For the second and subsequent years that promising

futures early learning scholarships are awarded, the department may award as many promising futures early learning scholarships and in such amount as funding permits.

(4) If there are more eligible applicants than scholarship funds available in a year that there is sufficient funding to award promising futures early learning scholarships, then the department of education shall award the scholarships in the following order:

(A) An eligible child who received a scholarship in the immediately preceding school year; and

(B) As determined based on the results of a lottery.

(d) The department of education shall establish:

(1) The qualifications for high-quality instruction in high-quality early learning programs for purposes of the promising futures early learning scholarships, including, but not limited to, qualifications for high-quality teachers and assistant teachers, high-quality teacher-child interaction and curricula, and high-quality environments; and

(2) The measurement methods and instruments for high-quality instruction, which must include, at a minimum, a tested and proven evidence-based observational instrument to assess classroom quality, including assessing multiple dimensions of teacher-child interactions that are linked to positive child development, early language and literacy skills, and later achievement.

(e) To be eligible to receive a promising futures scholarship, a parent's or legal guardian's child must:

(1) Be at least six (6) weeks of age and not eligible to attend a public school pursuant to § 49-6-3001;

(2) Be a member of a household with an annual income for the previous year that does not exceed one hundred fifty percent (150%) the state median income;

(3)

(A) Reside with a parent or legal guardian who has primary responsibility for care and control of the child and who is employed and works an average of thirty (30) hours or more per week or is enrolled in and attending full time an eligible postsecondary education program; or

(B) Reside in a household with two (2) parents or legal guardians who are each either employed and work an average of thirty (30) hours or more per week or are enrolled in and attending full time an eligible postsecondary education program;

(4) Be accepted to a high-quality early learning program; and

(5) Be a resident of this state.

(f) For purposes of creating and implementing the promising futures program, the department of education shall:

(1) Establish procedures to determine a child's eligibility to receive a scholarship in accordance with subsection (e);

(2) Establish an income verification process for purposes of subdivision (e)(2);

(3) Determine which postsecondary education programs are eligible programs for purposes of subdivision (e)(3);

(4) Pay scholarship funds directly to the high-quality early learning program in which the child who receives the scholarship is enrolled;

(5) Ensure that each child who receives a scholarship continues to meet the requirements outlined in subsection (e);

(6) Establish the number of days a child who receives a scholarship must attend a high-quality early learning program; and

(7) Ensure that each child who receives a scholarship attends a high-quality early learning program for the number of days established pursuant to subdivision (f)(6).

(g) The department of education may suspend or terminate a parent's or legal guardian's participation in the promising futures early learning scholarship program if the department determines that the child's parent or legal guardian failed to comply with this section.

(h) If a high-quality early learning program knowingly uses promising futures early learning scholarship funds with the intent to defraud the promising futures early learning scholarship program, then the department of education may refer the matter to the appropriate enforcement authority for criminal prosecution.

(i) A promising futures early learning scholarship:

(1) Constitutes a scholarship provided for high-quality early learning for a child; and

(2) Does not constitute income of a parent or legal guardian of a child under title 67, chapter 2 or any other state law.

(j) The department of education may use funds in the promising futures early learning fund for expenses incurred by the department due to the department's administration of the promising futures early learning scholarship program; provided, that such expenses must not exceed ten percent (10%) of the balance of the promising futures early learning scholarship program in any fiscal year.

(k) The department of education shall submit a report on the implementation of the promising futures program, including program outcomes, to the education committee of the senate and the committee of the house of representatives with jurisdiction over lottery scholarships by December 31, 2027, and by December 31 of each year thereafter.

SECTION 3. The state board of education shall promulgate rules necessary to effectuate this section. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 4. This act is not an appropriation of funds, and funds shall not be obligated or expended pursuant to this act unless the funds are specifically appropriated by the general appropriations act.

SECTION 5. The heading in this act is for reference purposes only and does not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the heading in any compilation or publication containing this act.

SECTION 6. This act takes effect July 1, 2025, the public welfare requiring it.